

Australian Business Conditions and Confidence, July

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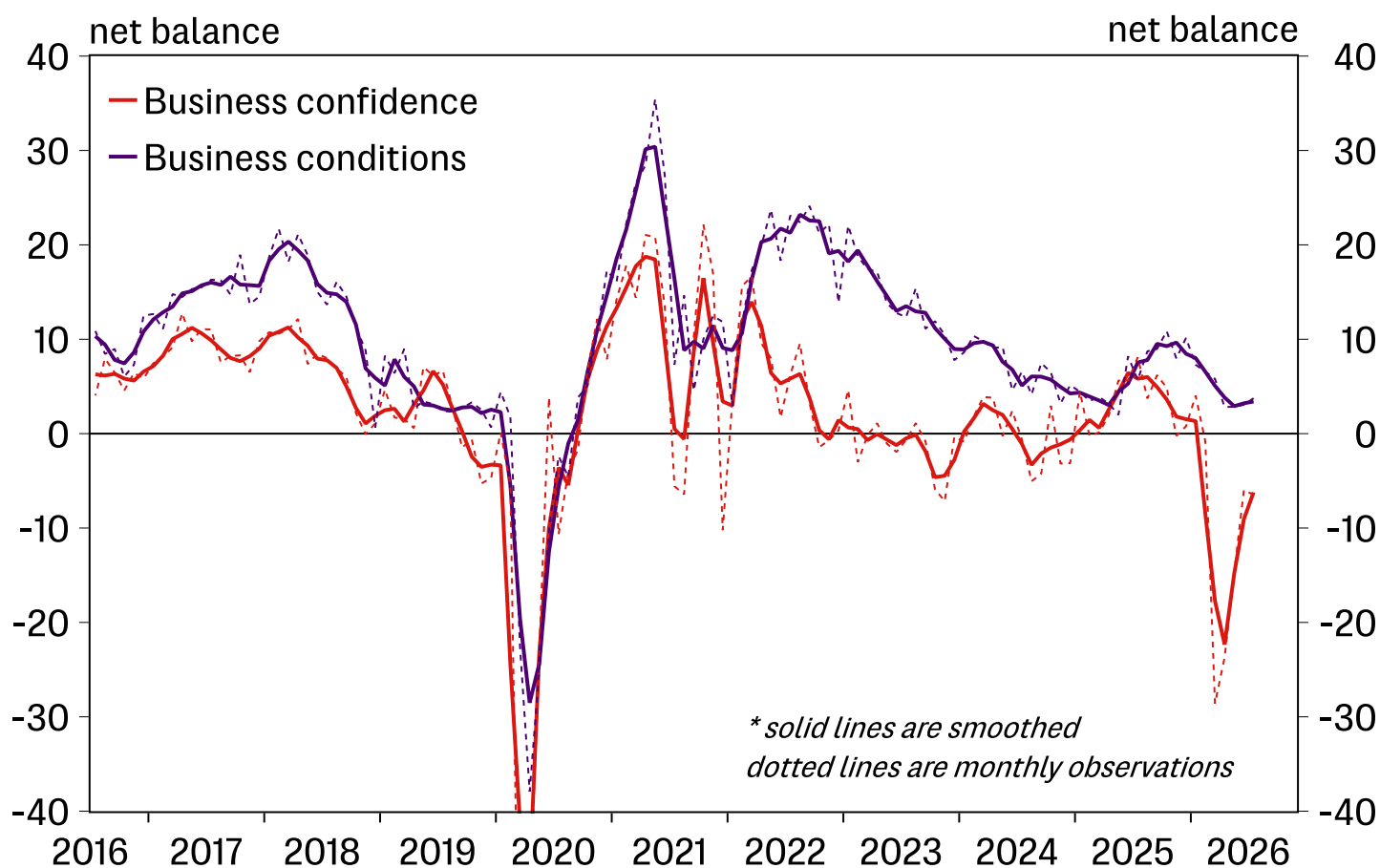
A re-escalation of the conflict in the Middle East sees the recovery in business confidence stall, while business conditions improve modestly. Confidence unchanged at -6 / Conditions +1pt to 4.



The July NAB Business Survey was in the field from 21 to 31 July, capturing businesses' reaction to the breakdown in the US-Iran Memorandum of Understanding and the brief spike in Brent oil prices above US\$100/bbl. Business confidence held steady at -6 in July, following a downwardly revised reading of -6 in June (-1pt), marking the first month since the onset of the conflict in which confidence failed to improve. While well above the low recorded in March, and showing a marked improvement on a three-month average basis, confidence remains deeply pessimistic, sitting 11pts below its long-run average and remaining in the bottom 10% of outcomes recorded since 1997.

The stagnation in business confidence likely partly reflects a reacceleration in cost pressures during the month. Final product price growth nearly doubled, rising 0.6ppt to 1.1%qtr, suggesting firms are seeking to rebuild margins following several months of subdued profitability outcomes. While still below the 1.8%qtr peak recorded at the height of the Middle East conflict in April, the result marks a renewed move above its long-run average (+0.6ppt). Meanwhile, input costs keep ramping up. Labour cost growth accelerated, rising 0.5ppt to 2.2%qtr, the strongest outcome since May 2024 and 1.0ppt above its long-run average. The increase likely reflects the full impact of the 4.75% increase in award wages. And purchase cost growth increased 0.2ppt to 2.3%qtr, remaining 1.1ppt above its long-run average.

Business conditions and confidence



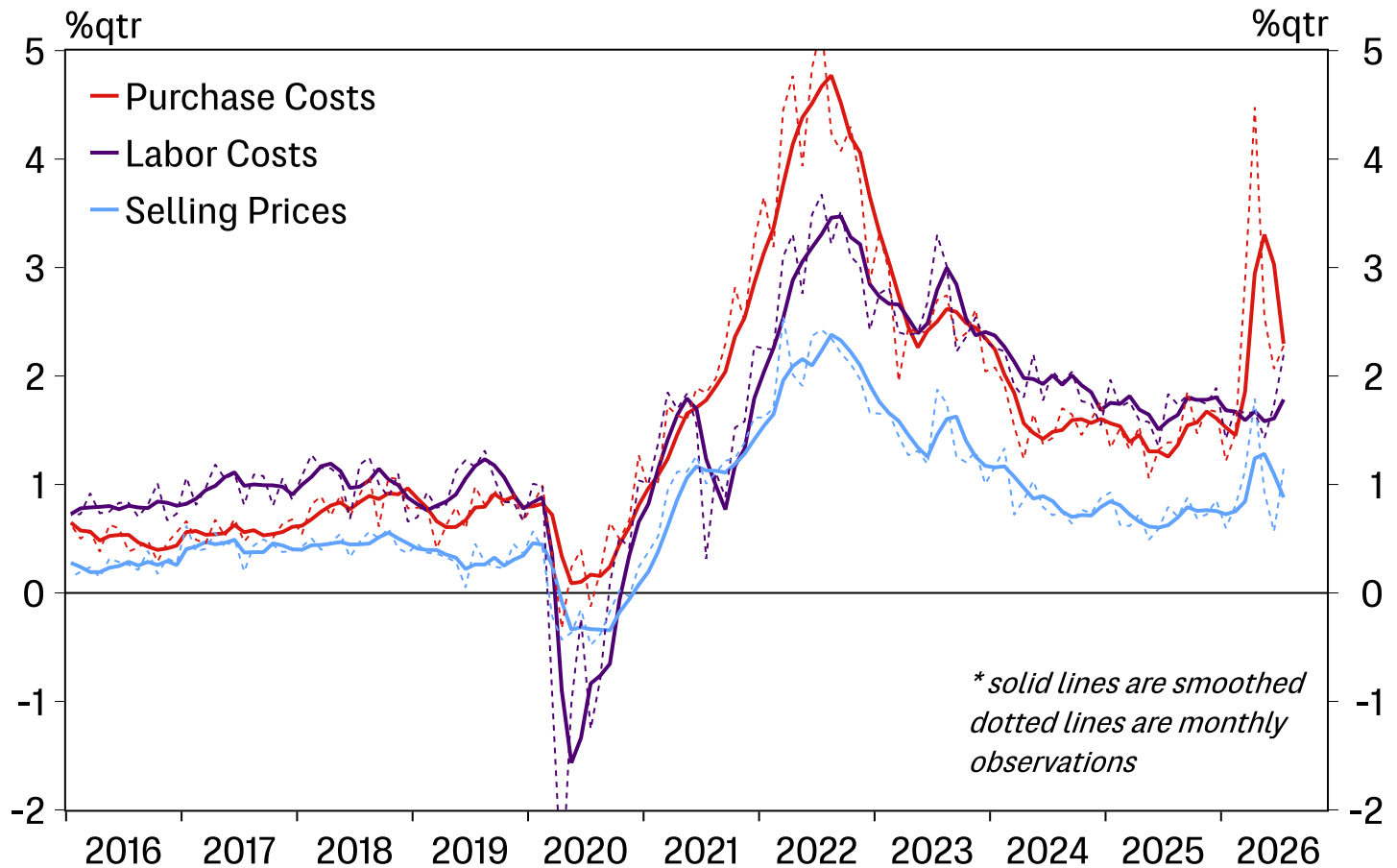
Source: NAB, Macrobond, Westpac Economics



The headline business conditions index improved modestly in July, rising 1pt to 4 after holding at 3 over the previous three months. Despite the improvement, conditions remain 3pts below their long-run average and well below the peak of 11 recorded in October last year. On balance, the result suggests businesses remain resilient despite the prevailing uncertainty.

Across the major sub-components, employment drove the majority of improvement in conditions, rising 2pts to 3 and more than reversing last month's decline. The result leaves the sub-index 1pt above its long-run average. The lift in hiring intentions comes despite a sharp increase in labour costs, suggesting firms are, for now, looking through the higher wage costs. Profitability rose 1pt to 1 after holding around 0 since March, indicating some improvement in margins, though the sub-index remains 4pts below its long-run average. Trading conditions were unchanged at 8 for a fourth consecutive month, consistent with [household spending data](#) showing spending has remained resilient despite ongoing headwinds facing consumers.

NAB Survey: Costs and Prices



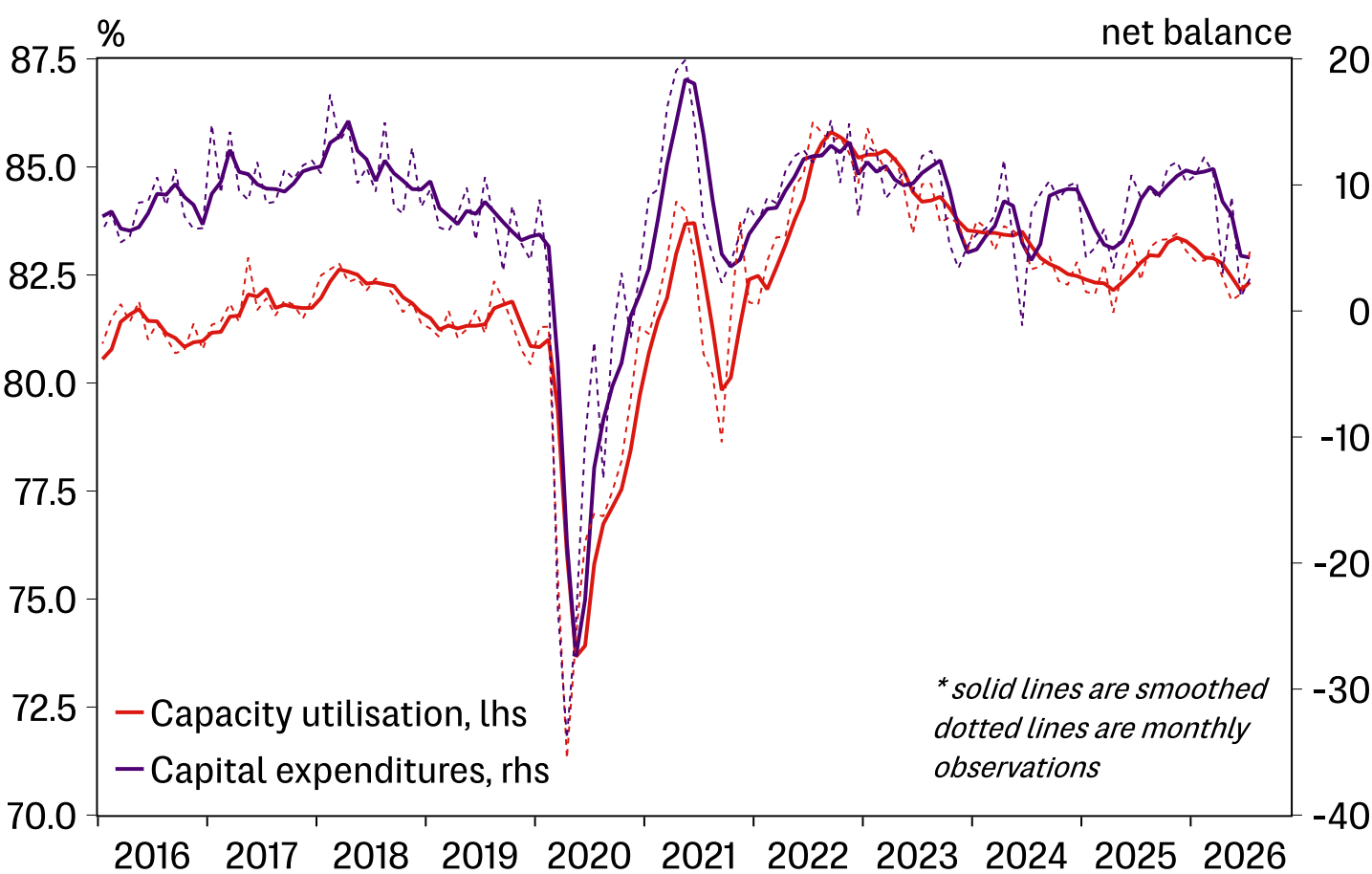
Source: NAB, ABS, Macrobond, Westpac Economics



Capacity utilisation rose sharply in July, increasing 1.0ppt to 83.0%, a level last seen around the turn of the year. The result sits 1.6ppt above its long-run average and marks the first increase in three-month average terms since November last year. While too late to influence today's RBA decision, the data points to an upside risk to the underlying inflationary pressures in the economy. Capital expenditure also rose modestly, increasing 1pt (rounded) to 3. However, this did little to unwind the sharp decline recorded in June, leaving the sub-index 4pts below its long-run average.

Among other indicators, forward orders fell 3pts to -3, highlighting fragility of demand amid ongoing uncertainty. Inventories declined by 1pt to 4, consistent with recently softer forward orders.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics 

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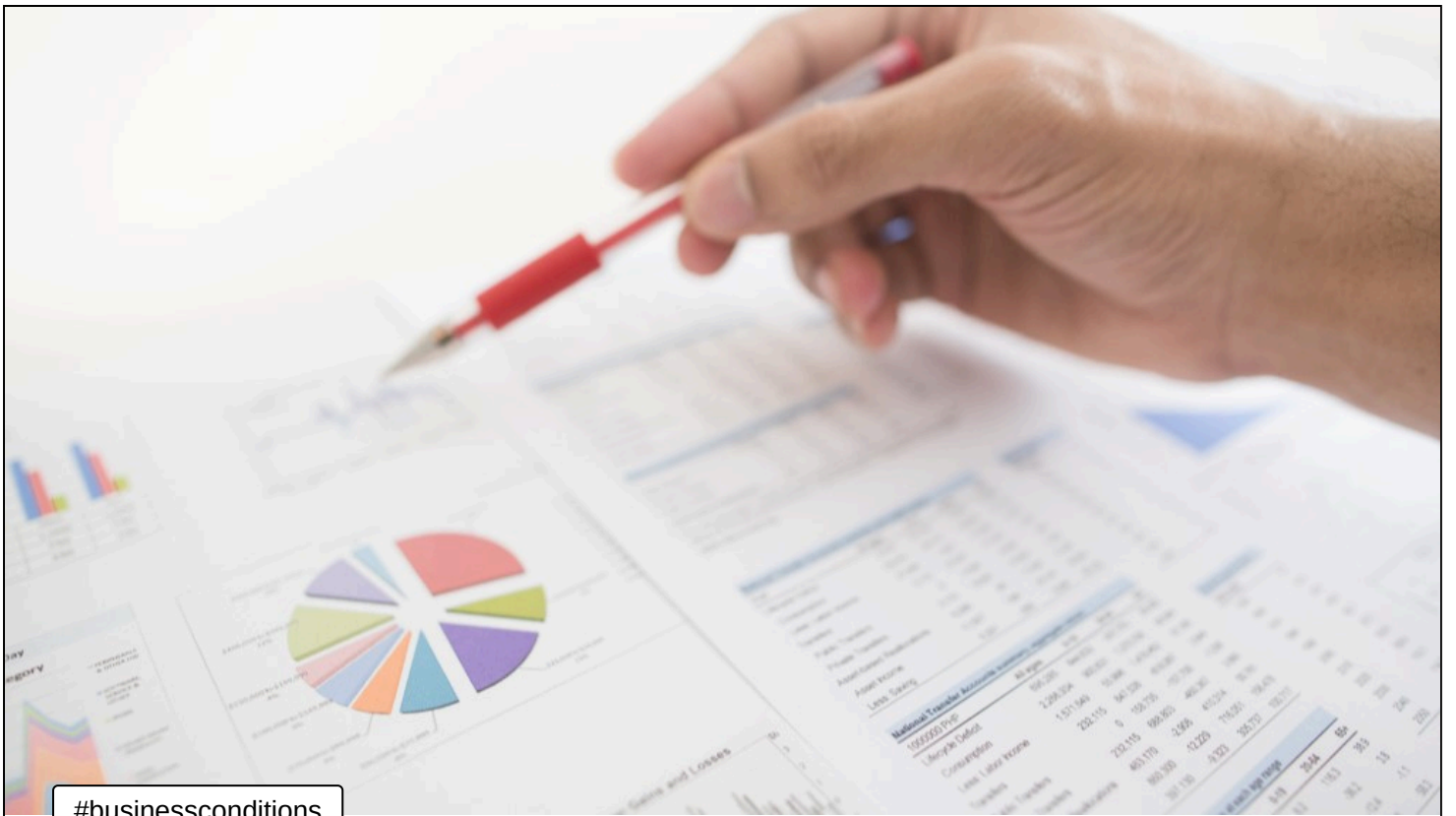


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